

Busted patterns count. I counted the number of busted patterns and found that 42% of broadening bottoms with downward breakouts will bust. *Ouch.* It's less painful for upward breakouts, with a quarter of them busting.

Busted occurrence. If we sort the busted patterns into three bins, single busts, double busts, and three or most busts (triple+), we see the results in the table. Notice that most of the busts are single ones.

Busted and non-busted performance. The last three lines in the table show the performance of busted and non-busted ones. Notice that single busted patterns perform better than all busted patterns (single, double, triple+) and also beat the non-busted pattern performance.

Perhaps now you understand why trading busted patterns might be the way to riches. Probably not, but we can dream. Try looking for a single busted downward breakout from a broadening bottom. Then try to carve out a portion of the 46% average rise.

Trading Tactics

[Table 8.10](#) shows trading tactics for broadening bottoms.

Measure rule. The first tactic is to determine how much money you are likely to make in a trade. The measure rule helps with the prediction, but it's not a guarantee.

To use the rule, compute the height by subtracting the highest high from the lowest low in the broadening bottom. Add the results to the highest high to get the target price for upward breakouts and subtract the height from the lowest low for downward breakouts.

For downward breakouts, if the prediction says the stock will drop below zero, then ignore it. For both breakout directions, use common sense. A large gain or loss probably won't occur.

The bottom portion of the table shows how well the measure rule works. Based on the full height, a stock will reach an upward target 65% of the time, but a downward target is harder to reach. It works just 41% of the time.